Financial Reporting and Accounting Project Part 2

Company: Columbia Sportswear Company

Competitor: Under Armour

ACCT1209

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Ratio Calculations

Ratio	*Columbia (2025)*	*Under Armour (2025)*
ROE	10.36%	-10.65%
ROA	6.05%	-4.68%
EPS	3.24	-0.47
Net Profit Margin	5.22%	-3.90%
Current Ratio	2.59	2.1
Quick Ratio	1.69	1.25
Accounts Receivable Turnover	8.42x	7.64x
Inventory Turnover	2.44x	2.82x
Times Interest Earned	Extremely High	-30.3x
Debt-to-Equity	0.71	1.27
P/E Ration	17	N/A

Profitability Analysis

Columbia Sportswear is still profitable, but its profitability has been declining over time. Revenue has remained relatively stable in recent years, but the net income has decreased, suggesting the company is becoming less efficient at converting sales into profit. This could be due to rising production costs, inventory pressures, or broader inflation in the apparel industry.

Looking at the profitability ratios, Columbia performs significantly better than Under Armour. Columbia's ROE of 10.36% is much higher than Under Armour's -10.65%, showing that Columbia is generating returns for shareholders while Under Armour is not. The same pattern appears with ROA, where Columbia reports 6.05% compared to -4.68% for Under Armour, meaning Columbia is using its assets more effectively to generate profit, likely due to more stable demand and stronger cost control. Columbia's net profit margin of 5.22% also stands in contrast to Under Armour's -3.90%, indicating that Columbia can retain a portion of its revenue as profit, while Under Armour is operating at a loss. EPS reinforces this difference, with Columbia at 3.24 and Under Armour at -0.47.

Comparing net income to operating cash flow gives additional insight. In 2025, Columbia reported operating cash flow of $282.9 million compared to net income of $177.2 million. Since operating cash flow is higher than net income, this suggests the company is generating strong cash from its core operations and is effectively converting earnings into actual cash. This difference is likely driven by non-cash expenses and changes in working capital, such as

inventory levels or accounts receivable. Even though net income has declined, the stronger operating cash flow suggests that the company's underlying operations remain solid.

Overall, Columbia is in a much stronger profitability position than Under Armour, but the downward trend in net income is still a concern. Even though the company is outperforming its competitor, continued pressure on earnings suggests it may need to better manage costs or improve growth to maintain its profitability.

Liquidity & Capital Structure Analysis

Based on Columbia Sportswear's 2025 yearly financial results, the company is capable of meeting its obligations as they become due. The current ratio of current assets of $1.972B to current liabilities of $760.8M is 2.59. Financial Analysts consider a current ratio between 1.5 and 3.0 to be healthy. According to the ratio calculations above with my competitor, Under Armour, Columbia has superior liquidity than Under Armour's current ratio of 2.10, which is based on their 2025 yearly current assets of $2.329B and current liabilities of $1.109B.

Columbia Sportswear maintains a stable capital structure, with 58.4% of its total assets financed through stockholders' equity and 41.6% financed through liabilities. Based on the 2025 yearly financial data, the company holds total assets of $2.928B, which are supported by $1.710B in equity and $1.218B in total liabilities. It is important to note that Columbia reported zero interest-bearing debt at the end of the fiscal year. Therefore, the liabilities consist primarily of operational obligations like accounts payable and accrued expenses rather than bank loans. This

high proportion of equity suggests that the company's finances are managed at a lower risk level, considering that most of its assets are owned by stockholders and not lent by creditors.

The capital structure of Under Armour is significantly different from that of Columbia Sportswear due to the substantial interest-bearing debt. While Columbia Sportswear operates with a debt-free balance sheet, Under Armour finances a notable portion of its assets through long-term borrowings. As of the end of 2025, Under Armour's capital structure consists of approximately 56% Liabilities ($2.41B) and 44% Stockholders' Equity ($1.89B), compared to Columbia's more conservative 42% Liabilities and 58% Equity split. More importantly, nearly $600M of Under Armour's liabilities are interest-bearing long-term debt, whereas Columbia's liabilities are strictly operational. This makes Under Armour's structure more "leveraged," meaning it carries higher financial risk and interest obligations that Columbia simply does not have.

Recommendations

From a lender's point of view, I would approve a moderate short-term loan for Columbia Sportswear. The company is in a strong position to handle its short-term obligations, shown by its current ratio of 2.59 and quick ratio of 1.69, both higher than Under Armour's 2.10 and 1.25. Columbia also has a lower debt-to-equity ratio of 0.71 compared to Under Armour's 1.27, which shows lower financial risk and less reliance on borrowed funds. In addition, Columbia remains profitable, with a positive ROE of 10.36%, ROA of 6.05%, EPS of 3.24, and a net profit margin of 5.22%, while Under Armour reported negative values in all of these areas. Together, these

results show that Columbia is in a much stronger overall position and would likely be a safer borrower. Based on this, I would approve a moderate loan for working capital needs, inventory support, or limited business expansion. I would still require collateral as a standard precaution, especially since the company's declining net income suggests that some caution is still necessary, and it's to protect the lender in case earnings continue to weaken.

From an investor's point of view, I would recommend holding Columbia Sportswear stock. Columbia is clearly in a stronger financial position than Under Armour, and the ratio analysis supports that conclusion. The company remains profitable, with positive returns on equity and assets, a positive earnings per share figure, and a positive net profit margin, while Under Armour reported negative values across all of those profitability measures. Columbia also has stronger liquidity and lower leverage, which means it carries less financial risk and has a more stable overall financial structure. Its positive profitability ratio shows that the company is still generating returns, while Under Armour's negative ROE, ROA, EPS, and net profit margin point to weaker performance. At the same time, Columbia's declining net income shows that profitability is under pressure, which makes a strong buy recommendation harder to support right now. A hold recommendation makes the most sense because Columbia is financially stable and lower-risk than Under Armour, but investors should wait for stronger earnings growth before increasing their investment.

AI Section:

The AI response provided a general comparison of Columbia Sportswear and Under Armour using several financial ratios. It discussed profitability, liquidity, and leverage, and attempted to compare performance between the two companies. However, the response lacked specific numerical values and did not clearly explain the significance of each ratio. Some statements were also vague, such as describing one company as “stronger” without fully supporting the claim with data.

Additionally, the response did not clearly distinguish between 2024 and 2025 results. This made it difficult to evaluate trends or determine whether financial performance improved or declined over time.

To improve the output, the following revised prompt was used: “Using financial statement data from 2024 and 2025, compare Columbia Sportswear and Under Armour using the following ratios: ROE, ROA, Net Profit Margin, Current Ratio, Quick Ratio, Debt-to-Equity, and Times Interest Earned. Provide numerical value, compare both companies, explain what each ratio means, and determine which company is financially stronger overall.”

The improved AI response provided more detailed analysis and included specific numerical values for both companies. It clearly compared Columbia Sportswear and Under Armour across multiple financial ratios and explained what each ratio indicated about profitability, liquidity, and financial risk. The response also clearly distinguished between 2024 and 2025, allowing for trend analysis.

In addition, the improved response was more useful because it provided clearer comparisons, stronger explanations, and better supported conclusions. The revised prompt resulted in a more structured and accurate analysis, making it easier to understand which company had performed better financially.